COMMERCE

Paper 7100/21
Written 21

General comments

Candidates are required to answer four questions from a choice of eight in Paper 2. Many of the questions covered more than one topic from the syllabus. The standard of work was impressive with the candidates from some Centres producing work of a very high standard and some candidates gaining full or nearly full marks. Many candidates showed good commercial knowledge and an ability to develop an answer in the context of a particular scenario. These candidates presented thoughtful answers, were able to follow the rubric of the question and to make reasoned judgements and recommendations. They often achieved full marks in the Levels of Response questions that carry a higher mark tariff than other questions. Weaker candidates did not always answer the questions set, omitted parts of questions, failed to use all the marks for a part question and presented very brief answers.

Most questions were accessible to candidates. The structured questions and data response questions contained some easy parts e.g. 1 **(a)**, 2 **(a)**, 3 **(d)**, 4 **(a)**, 5 **(a)**, 6 **(a)**, 7 **(b)** and 8 **(b)** but there were also subsections in each question that were more testing e.g. 1 **(b) (ii)**, 2 **(f)**, 3 **(c)**, 4 **(d)**, 5 **(e)**, 6 **(b)**, 7 **(c)** and 8 **(c) (ii)** and **(iii)**. Most of these questions carried a higher mark tariff than the easier questions.

Many of the candidates paid attention to the command words or key words of the questions and to the mark allocations for the part questions. This enabled them not to waste time on writing at length when only one or two marks were offered. Some parts of some questions were marked according to Levels of Response e.g. 2 **(f)**, 3 **(c)**, 4 **(b)**, 5 **(e)**, 6 **(b)**, and 8 **(c) (iii)**. The part questions with the highest mark tariff were usually marked in this way. Those candidates who wrote developed answers and those who were able to give reasons for their opinions were able to gain top level marks. Candidates who presented lists for these questions remained in Level 1. It should be remembered that it is not enough to present a list of points, it is important to develop points – to say why something is important or why something is the better choice. If candidates offer some argument in their answers, consider all the options mentioned and follow the rubric of the question they will then achieve a higher level and so more marks. These questions did, however, differentiate between the high achievers and the weaker candidates.

Some candidates attempted more than the four questions required. The scripts were generally well presented but some candidates' work was very difficult to read often because the pen used was pale blue or because the writing was very small.

The most popular questions were **Questions 1, 2, 4** and **6**. Few candidates chose to answer **Question 7**, mostly about insurance.

Comments on specific questions

Question 1

Most candidates scored both marks in Part **(a)**. Although many candidates scored full marks in Part **(b)**, candidates often failed to comment on distance and the fact that rail and road would not be usable. The work of port authorities is not always understood. Many candidates confuse port authorities with customs authorities and so write about collecting duties and enforcing quotas and score no marks. It was, however, pleasing to note that many candidates scored full marks relating their answers to the context of handling iron ore. No marks were allowed for warehousing the ore or the use of bonded warehouses. Part **(c)** proved to be easy for most candidates. The main problem was confusing teleconferencing with videoconferencing in Part **(c) (ii)** and commenting on the ability to see the others at the meeting. In Part **(d)** candidates often failed to appreciate that the mining company was using the Internet and tended to write from the point of view of a retailer offering online shopping.

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Question 2

Most answers to Part **(a)** were related to the data given. In Part **(b) (i)** most candidates concentrated on the point that there was no need to carry cash. A wide range of answers was seen to Part **(b) (ii)** with few candidates mentioning that Kumar was a cash and carry wholesaler and so would only accept cash or debit cards. Part **(c)** was usually answered correctly and answers to Part **(d)** showed good understanding of the need to clear stock to make way for newer stock and to release capital tied up in stock. Although candidates understood the purposes of warehouses, the Part **(e)** asked for three purposes related to Kumar Wholesalers and this was ignored by the majority of candidates. It is important that for questions like this, the answers are in the context of the question. Otherwise marks are lost e.g. a warehouse is used to store goods (1 mark), the warehouse would be used to store Kumar's electrical goods (2 marks). Many candidates mentioned seasonal goods. This was not relevant unless related to heaters in winter or air-conditioning in summer. Many candidates were able to produce a reasoned argument in answer to Part **(f)** and consider both the functions of the wholesaler and also the reasons for the success of large-scale retailers but weaker candidates seemed to think that small-scale retailers purchased from large-scale retailers instead of wholesalers.

Question 3

The calculations in Part **(a)** were usually accurate with working shown. In Part **(b)** many answers were brief and confined to lack of immediate cash and the need to borrow. Better candidates were able to to comment on the need to make further expensive purchases and good deals offered by the seller. Many answers to Part **(c)** listed several methods of finance without indicating which was recommended and why. Some answers gave sources of finance more suited to a business such as shares and debentures. Some candidates suggested Hire Purchase, but this was not acceptable and could have been another alternative to Plan B. Some candidates mentioned the fact that Plan A was financially more advantageous even if interest was paid on a loan. Part **(d)** was usually well answered with mention of guarantees and warranties but some candidates still think that the first action should be to sue the retailer rather than return the goods to the seller.

Question 4

Division of labour was accurately defined in Part **(a)**. Answers to Part **(b)** were disappointing because candidates failed to read the question carefully. The question related to the employees of a clothing manufacturer not to the manufacturer himself and so many answers, although well argued, were off the point. Both parts of Part **(c)** were well answered but full marks cannot be gained for reverse arguments for advantages and disadvantages e.g. good quality and poor quality. Many candidates were able to transfer their knowledge of specialisation from factories and the workforce to specialisation by countries in Part **(d)**. Sound knowledge of the theory of comparative advantage was shown by many candidates who presented reasoned answers, often with examples, to show the importance of specialisation by countries to international trade.

Question 5

Calculations in Part **(a)** were usually accurate. Candidates were able to identify advantages of operating a franchise in Part **(b)** and show ways in which the franchisor helps the franchisee in Part **(c)**. Part **(d)** posed a problem to many candidates who failed to answer the question in the context of Galaxy Petroleum and moving petroleum by road or rail. Candidates often gave a comparison of road and rail or wrote about moving goods by road or rail or gave the features of road and rail transport. Answers that attracted full marks considered cost or urgency or quantity to be moved or safety in the context of moving oil and petrol by either road or railway. Part **(e)** also proved to be demanding. Candidates were expected to discuss the importance of both importing and exporting to the country in which Galaxy is located. Good answers considered the concept of added value and commented on the effects on the Balance of Trade of Galaxy Petroleum's activities.

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Question 6

Most candidates were able to show why shoppers use supermarkets in Part **(a)**. Answers considered self service, variety of goods, additional facilities and one-stop shopping. Nearness to customers was the popular choice in Part **(b)** but well justified arguments for each of the other two options were also seen and given good marks. Many candidates were able to show why Realbuy used both persuasive and informative advertising but only the better answers mentioned the need for Realbuy to convince shoppers that the new supermarket would be better than the one they were using. In Part **(d)** a wide range of answers was accepted. Many candidates lost marks by writing about advertising media. Acceptable answers included offers, competitions, delivery service, credit, pricing strategies, loss leaders, loyalty cards and sponsorship of events.

Question 7

In Part **(a)** some candidates related their answers to insurance rather than considering some of the features of a public limited company. The insurance policy was usually understood in Part **(b) (i)** and candidates could identify a risk in Part **(b) (ii)**. Part **(c)** proved to be more difficult. An understanding of public liability insurance was required in Part **(c) (i)** and the fact that most insurance policies carry an excess was tested in Part **(c) (ii)**. Some interesting answers were seen to Part **(d)**. Candidates mentioned different kinds of houses, more valuable contents, areas of higher risk and greater cover required. The insurance principles that applied were usually identified correctly in Part **(e)** and candidates were able to present worthwhile comment as to why neither claim would be met.

Question 8

Questions on added value often present problems to candidates. Candidates often scored both marks in Part **(a)** and identified various processes involved in making shoes. Online shopping was well understood by candidates in Part **(b)**. In Part **(c) (i)** trade discount was often described as cash discount or candidates failed to show that it is offered by one trader to another. Many correct answers to seen to Part **(c) (ii)** but candidates often lost one mark by failing to add the two net profit figures together to show the total net profit. Some well argued answers, often using the figures already calculated, were seen to Part **(c) (iii)** with many candidates showing with reasons why Mustapha Ltd should continue to sell both to the shoe shops and also online. Some candidates, however assumed, mistakenly, that Mustapha Ltd owned the shoe shops. Many candidates also failed to appreciate that it was necessary to allow the shoe shops to make a profit or that it might be necessary to spread risk. Answers to Part **(d)** were usually accurate with some candidates calculating how much the credit note would be issued for and many mentioning that the debt would be reduced.

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